



MINDTECK SINGAPORE PTE LTD

Co. Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

FINANCIAL STATEMENTS

For the financial year ended 31 March 2020



Kudos CAS Public Accounting Corporation

Public Accountants and Chartered Accountants

MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

GENERAL INFORMATION*For the financial year ended 31 March 2020*

Director

Jacob Pillay

Company Secretary

Tan Ah Long

Registered Office7B Keppel Road
#05-09 Tanjong Pagar Complex
Singapore 089055**Auditor**

Kudos CAS Public Accounting Corporation

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MINDTECK SINGAPORE PTE LTD

Co Reg No.: 199904845D

(Incorporated in the Republic of Singapore)

DIRECTOR'S STATEMENT

For the financial year ended 31 March 2020

The director is pleased to present his statement to the member together with the audited financial statements of Mindteck Singapore Pte Ltd (the Company) for the financial year ended 31 March 2020.

Opinion of the director

In the opinion of the director,

- (i) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2020 and the financial performance, changes in equity and cash flows of the Company for the year ended on that date; and
- (ii) at the date of this statement, on the basis that director is of the opinion that the Covid-19 global pandemic will not have a significant impact on the operation and liquidity of the Company, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

Director

The director of the Company in office at the date of this statement is Jacob Pillay.

Arrangements to enable director to acquire shares and debentures

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the director of the Company to acquire benefits by means of the acquisition of shares or debentures of the Company or any other body corporate.

Director's interests in shares and debentures

According to the register of director's shareholdings kept by the Company under section 164 of the Singapore Companies Act, Chapter 50 (the Act), no director who held office at the end of the financial year had interests in the shares, share options, warrants or debentures of the Company and its related corporations, either at the beginning of the financial year, or date of appointment if later, or at the end of the financial year.

Share options

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

MINDTECK SINGAPORE PTE LTD

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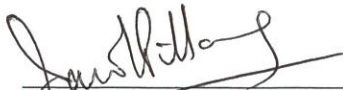
(Incorporated in the Republic of Singapore)

DIRECTOR'S STATEMENT

For the financial year ended 31 March 2020

Kudos CAS Public Accounting Corporation have expressed their willingness to accept re-appointment as auditor.

The Director,



JACOB PILLAY

Director

Singapore

Date: **22 JUN 2020**



Kudos CAS Public Accounting Corporation
UEN No. 201500907H

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**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2020**
Co Reg No.: 199904845D

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Mindteck Singapore Pte Ltd** (the "Company"), which comprise the statement of financial position as at 31 March 2020, the statement of profit or loss and other comprehensive income, the statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company are properly drawn up in accordance with the provisions of the Companies Act, Chapter 50 (the Act) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 March 2020 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

We draw attention to Note 22, Subsequent event note, which indicates that due to Covid-19 global pandemic, there could be significant impact on the operation and liquidity of the Company. These events or conditions indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. The ability of the Company to continue as a going concern is dependent on its ability to sell its placement services which the pandemic has affected its ability to market and deploy its workforce effectively. Our opinion is not modified in respect of this matter.

**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2020**
Co Reg No.: 199904845D

Other Information

Management is responsible for other information. The other information comprises the Director's statement.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Director for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The director's responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2020**
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Auditor's Responsibilities for the Audit of the Financial Statements (continued)

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the director regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.



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**INDEPENDENT AUDITOR'S REPORT TO THE MEMBER OF
MINDTECK SINGAPORE PTE LTD
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2020**
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A handwritten signature in black ink, appearing to be 'G. M.' or similar, written over a faint circular stamp.

KUDOS CAS PUBLIC ACCOUNTING CORPORATION

Public Accountants and
Chartered Accountants

Singapore

Date: **22 JUN 2020**

MINDTECK SINGAPORE PTE LTD

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(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME*For the financial year ended 31 March 2020*

	Note	2020 S\$	2019 S\$
Revenue	4	4,654,943	4,410,922
Cost of services	5	(3,734,103)	(3,839,146)
Gross profit		920,840	571,776
Other income		41,386	30,805
Expenses:-			
- Administrative expenses		(742,570)	(758,899)
- Other operating expenses		(26,565)	(4,098)
Profit / (Loss) before tax	6	193,091	(160,416)
Income tax expense	8(a)	(4,000)	(1,281)
Profit / (Loss) for the year, representing total comprehensive income / (losses) for the year		189,091	(161,697)

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

MINDTECK SINGAPORE PTE LTD

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STATEMENT OF FINANCIAL POSITION*As at 31 March 2020*

	Note	2020 S\$	2019 S\$
ASSETS			
Non-current assets			
Goodwill	9	534,583	534,583
Plant and equipment	10	4,185	7,476
Right of use asset	11	11,637	-
		550,405	542,059
Current assets			
Trade and other receivables	12	1,210,198	1,150,579
Prepayments		63,981	6,886
Amount due from related parties	15	227,160	668,162
Cash and cash equivalents	13	714,690	313,385
		2,216,029	2,139,012
TOTAL ASSETS		2,766,434	2,681,071
LIABILITIES			
Current liabilities			
Other payables and accruals	14	501,907	507,437
Amount due to related parties	15	135,358	244,631
Gross amount due to customers for contract work-in-progress	16	18,422	27,369
Lease liability	17	12,098	-
Provision for taxation	8(b)	9,244	867
		677,029	780,304
NET CURRENT ASSETS		1,539,000	1,358,708
TOTAL LIABILITIES		677,029	780,304
NET ASSETS		2,089,405	1,900,767
EQUITY			
Capital and reserves attributable to Equity holders of the Company			
Share capital	19	1,310,500	1,310,500
Retained earnings		778,905	590,267
TOTAL EQUITY		2,089,405	1,900,767

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

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STATEMENT OF CHANGES IN EQUITY*For the financial year ended 31 March 2020*

	<u>Share capital</u> S\$	<u>Retained earnings</u> S\$	<u>Total</u> S\$
2020			
Beginning of financial year	1,310,500	590,267	1,900,767
Opening retained earnings adjustment	-	(453)	(453)
Total comprehensive income for the year	-	189,091	189,091
End of financial year	1,310,500	778,905	2,089,405
2019			
Beginning of financial year	1,310,500	751,964	2,062,464
Total comprehensive loss for the year	-	(161,697)	(161,697)
End of financial year	1,310,500	590,267	1,900,767

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

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STATEMENT OF CASH FLOWS*For the financial year ended 31 March 2020*

	Note	2020 S\$	2019 S\$
Cash flows from operating activities			
Profit / (Loss) before income tax		193,091	(160,416)
Adjustments for:			
Depreciation of plant and equipment		3,291	4,098
Amortization of right of use asset		23,274	-
Impairment of Investment in subsidiary		-	51,742
Impairment of amount due from related parties		-	9,832
Impairment loss on trade receivables		-	18,662
Operating cash flow before working capital changes		219,656	(76,082)
Change in working capital:			
Trade and other receivables		(59,619)	704,813
Prepayment		(57,095)	(1,867)
Amount due from related parties		441,002	(301,543)
Other payables and accruals		(1,153)	(104,607)
Amount due to related parties		(109,273)	23,683
Gross amount due to customers for contract work-in-progress		(8,947)	8,850
Cash generated from operations		424,571	253,247
Income tax refund		-	298
Income tax paid		-	(35,644)
Net cash generated from operating activities		424,571	217,901
Cash flows from investing activity			
Purchase of plant and equipment		-	(2,927)
Net cash used in investing activity		-	(2,927)
Cash flows from financing activities			
Amount due from a related party		-	(120,000)
Repayment of lease liability	17	(23,266)	-
Net cash used in financing activities		(23,266)	(120,000)
Net changes in cash and cash equivalents		401,305	94,974
Cash and cash equivalents at beginning of the financial year		313,385	218,411
Cash and cash equivalents at end of the financial year	13	714,690	313,385

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. Corporate information

Mindteck Singapore Pte Ltd (“the Company”) is a limited liability company incorporated and domiciled in Singapore. The immediate and ultimate holding company is Mindteck (India) Limited, a company domiciled and incorporated in India.

The registered office and principal place of business is located at 7B Keppel Road #05-09, Tanjong Pagar Complex, Singapore 089055.

The principal activities of the Company are those of software development and consultancy services and the provision of contract information technology professionals.

These financial statements are separate financial statements of the Company. The Company is exempted from the preparation of consolidated financial statements as the Company is a wholly-owned subsidiary of Mindteck (India) Limited, a company incorporated in India, which prepares the consolidated financial statements and has its registered office at, 16/3, Cambridge Road, Ulsoor Bangalore 560 008, Karnataka, India. The consolidated financial statements are obtainable at the registered office.

2. Summary of significant accounting policies**2.1 Basis of preparation**

The financial statements of the Company have been prepared in accordance with Singapore Financial Reporting Standards (“FRS”).

The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollars (“SGD” or “S\$”), which is the Company’s functional currency.

2.2 Adoption of new and amended standards and interpretations

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial periods beginning on or after 1 April 2019. Except for the adoption of FRS 116 Leases described below, the adoption of these standards did not have any material effect on the financial performance or position of the Company.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

2. Summary of significant accounting policies (continued)**2.2 Adoption of new and amended standards and interpretations (continued)***FRS 116 Leases*

FRS 116 supersedes FRS 17 Leases, INT FRS 104 Determining whether an Arrangement contains a Lease, INT FRS 15 Operating Leases-Incentives and INT FRS 27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the statement of financial position.

The Company adopted FRS 116 using the modified retrospective method of adoption with the date of initial application of 1 April 2019. Under this method, the standard is applied retrospectively with the cumulative effect of initially applying the standard recognised at the date of initial application as an adjustment to the opening balance of retained earnings. The Company elected to use the transition practical expedient to not reassess whether a contract is, or contains a lease at 1 April 2019. Instead, the Company applied the standard only to contracts that were previously identified as leases applying FRS 17 and INT FRS 104 at the date of initial application.

The effect of adopting FRS 116 as at 1 April 2019 was as follows:

	Increase / (decrease) SGD
Right-of-use assets	34,911
Lease liabilities	35,364
Retained earnings	(453)

When measuring lease liabilities for leases that were classified as operating leases, the Company discounted lease payments using the applicable incremental borrowing rates at 1 April 2019, at 5.25%.

The Company has lease contracts for office premise. Before the adoption of FRS 116, the Company classified each of its leases (as lessee) at the inception date as either a finance lease or an operating lease. The accounting policy prior to 1 April 2019 is disclosed in Note 2.15.

Upon adoption of FRS 116, the Company applied a single recognition and measurement approach for all leases except for short-term leases and leases of low-value assets. The accounting policy beginning on and after 1 April 2019 is disclosed in Note 2.15. The standard provides specific transition requirements and practical expedients, which have been applied by the Company.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

2. Summary of significant accounting policies (continued)**2.2 Adoption of new and amended standards and interpretations (continued)***FRS 116 Leases (continued)***a) Leases previously classified as finance leases**

The Company did not change the initial carrying amounts of recognised assets and liabilities at the date of initial application for leases previously classified as finance leases (i.e. the right-of-use assets and lease liabilities equal the lease assets and liabilities recognised under FRS 17). The requirements of FRS 116 were applied to these leases from 1 April 2019.

b) Leases previously accounted for as operating leases

The Company recognised right-of-use assets and lease liabilities for those leases previously classified as operating leases, except for short-term leases and leases of low-value assets. The right-of-use assets for the leases were recognised based on the carrying amount as if the standard had always been applied, using the incremental borrowing rate at the date of initial application. Lease liabilities were recognised based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

The Company also applied the available practical expedients wherein it:

- used a single discount rate to a portfolio of leases with reasonably similar characteristics;
- relied on its assessment of whether leases are onerous immediately before the date of initial application as an alternative to performing an impairment review;
- applied the short-term leases exemption to leases with lease term that ends within 12 months of the date of initial application;
- excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application; and
- used hindsight in determining the lease term where the contract contained options to extend or terminate the lease.

Based on the above, as at 1 April 2019:

- Right-of-use assets of SGD34,911 were recognized and presented separately as Right-of-Use assets and;
- Additional lease liabilities of SGD35,364 (included in lease liabilities) were recognised.
- Retained earnings of SGD453 due to the lease commenced on 1 October 2018.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

2. Summary of significant accounting policies (continued)**2.3 Standards issued but not yet effective**

The Company has not adopted the following standards applicable to the Company that have been issued but not yet effective:

	Effective for annual periods beginning on or after
Amendments to References to the Conceptual Framework in FRS Standards	1 January 2020
<i>Amendments to FRS 1 and FRS 8</i> Definition of Material	1 January 2020

The director expects that the adoption of the standards above will have no material impact on the financial statements in the year of initial application.

2.4 Foreign currency

The financial statements are presented in Singapore Dollars, which is also the Company's functional currency.

a) Transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

2. Summary of significant accounting policies (continued)**2.5 Revenue (continued)****a) Rendering of services**

Revenue arising from the placement of temporary or contract term, is recognised at the point in time that temporary workers are provided. Where the Company is acting as a principal, turnover represents the amounts billed for the services of the temporary workers, including the remuneration costs of the temporary workers. The commission included within the revenue recognised arising from temporary placements is typically based on a percentage of the placements hourly rate.

2.6 Plant and equipment

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

The cost of plant and equipment includes its purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

Depreciation is computed on a straight-line basis over the estimated useful lives of the assets as follows:

- Computer and software: 3 years
- Furniture and fixtures: 5 years
- Office equipment: 5 years
- Office renovation: 2 years

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual value, useful life and depreciation method are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on derecognition of the asset is included in profit or loss in the year the asset is derecognised.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

2. Summary of significant accounting policies (continued)**2.7 Intangible assets**

Intangible assets acquired separately are measured initially at cost. Following initial acquisition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in profit or loss in the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite useful lives are amortised over the estimated useful lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

Intangible assets with indefinite useful lives or not yet available for use are tested for impairment annually, or more frequently if the events and circumstances indicate that the carrying value may be impaired either individually or at the cash-generating unit level. Such intangible assets are not amortised. The useful life of an intangible asset with an indefinite useful life is reviewed annually to determine whether the useful life assessment continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognised.

2.8 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when an annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss, except for assets that are previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

2. Summary of significant accounting policies (continued)**2.8 Impairment of non-financial assets (continued)**

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss unless the asset is measured at revalued amount, in which case the reversal is treated as a revaluation increase. Impairment losses relating to goodwill cannot be reversed in future period.

2.9 Cash and cash equivalents

Cash and cash equivalents comprise cash at bank and on hand and demand deposits which are subject to an insignificant risk of changes in value. These also include bank overdrafts that form an integral part of the Company's cash management.

2.10 Financial instruments**a) Financial assets****Initial recognition and measurement**

Financial assets are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement**Investment in debt instruments**

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the asset. The three measurement categories for classification of debts instruments are:

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

2. Summary of significant accounting policies (continued)**2.10 Financial instruments (continued)****a) Financial assets (continued)***i) Amortised cost*

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through amortisation process.

ii) Fair value through other comprehensive income (FVOCI)

Financial assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Financial assets measured at FVOCI are subsequently measured at fair value. Any gains or losses from changes in fair value of the financial assets are recognised in other comprehensive income, except for impairment losses, foreign exchange gains and losses and interest calculated using the effective interest method are recognised in profit or loss. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment when the financial asset is de-recognised.

iii) Fair value through profit or loss

Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt instruments that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss in the period in which it arises.

Investments in equity instruments

On initial recognition of an investment in equity instrument that is not held for trading, the Company may irrevocably elect to present subsequent changes in fair value in OCI which will not be reclassified subsequently to profit or loss. Dividends from such investments are to be recognised in profit or loss when the Company's right to receive payments is established. For investments in equity instruments which the Company has not elected to present subsequent changes in fair value in OCI, changes in fair value are recognised in profit or loss.

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2. Summary of significant accounting policies (continued)**2.10 Financial instruments (continued)****a) Financial assets (continued)****Derivatives**

Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently remeasured to their fair value at the end of each reporting period. Changes in fair value of derivatives are recognised in profit or loss.

De-recognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

b) Financial liabilities**Initial recognition and measurement**

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at fair value through profit or loss are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

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2. Summary of significant accounting policies (continued)**2.11 Impairment of financial assets**

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss and financial guarantee contracts. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade receivables and contract assets, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect debtors' ability to pay.

For debt instruments at fair value through OCI, the Company applies the low credit risk simplification. At every reporting date, the Company evaluates whether the debt instrument is considered to have low credit risk using all reasonable and supportable information that is available without undue cost or effort. In making that evaluation, the Company reassesses the internal credit rating of the debt instrument. In addition, the Company considers that there has been a significant increase in credit risk when the contractual payments are more than 30 days past due.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

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2. Summary of significant accounting policies (continued)**2.12 Provisions**

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.13 Consultancy contracts

The Company principally operates fixed price contracts. Contract revenue and contract costs are recognised as revenue and expenses respectively by reference to the stage of completion of the contract activity at the end of the reporting period (the percentage of completion method), when the outcome of a consultancy contract can be estimated reliably.

When the outcome of a consultancy contract cannot be estimated reliably (principally during early stages of a contract), contract revenue is recognised only to the extent of contract costs incurred that are likely to be recoverable and contract costs are recognised as expense in the period in which they are incurred.

An expected loss on the consultancy contract is recognised as an expense immediately when it is probable that total contract costs will exceed total contract revenue.

In applying the percentage of completion method, revenue recognised corresponds to the total contract revenue multiplied by the actual completion rate based on the proportion of total contract costs incurred to date and the estimated costs to complete.

2.14 Government grants

Government grants are recognized when there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. Government grant shall be recognized in profit or loss on a systematic basis over the periods in which the entity recognizes as expenses the related costs for which the grants are intended to compensate. Grants related to income may be presented as a credit in profit or loss, either separately or under a general heading such as "Other income". Alternatively, they are deducted in reporting the related expenses.

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2. Summary of significant accounting policies (continued)**2.15 Leases**

These accounting policies are applied on and after the initial application date of FRS 116, 1 January 2019:

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

a) As lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities representing the obligations to make lease payments and right-of-use assets representing the right to use the underlying leased assets.

Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e. the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment. The accounting policy for impairment is disclosed in Note 2.8.

The Company's right-of-use assets are presented separately, Right-of-use assets (Note 11).

Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

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2. Summary of significant accounting policies (continued)**2.15 Leases (continued)****a) As lessee (continued)***Lease liabilities (continued)*

In calculating the present value of lease payments, the Company uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g. changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

The Company's lease liabilities are presented within Note 17.

Short-term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to its short-term leases of machinery (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

These accounting policies are applied before the initial application date of FRS 116, 1 January 2019:

a) As lessee

Finance leases which transfer to the Company substantially all the risks and rewards incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased asset or, if lower, at the present value of the minimum lease payments. Any initial direct costs are also added to the amount capitalised. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged to profit or loss. Contingent rents, if any, are charged as expenses in the periods in which they are incurred.

Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset and the lease term, if there is no reasonable certainty that the Company will obtain ownership by the end of the lease term.

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2. Summary of significant accounting policies (continued)**2.15 Leases (continued)****a) As lessee (continued)**

Operating lease payments are recognised as an expense in profit or loss on a straight-line basis over the lease term. The aggregate benefit of incentive provided by the lessor is recognised as a reduction of rental expense over the lease term on a straight-line basis.

2.16 Employees benefits**a) Defined contribution plans**

The Company participates in the national pension schemes as defined by the laws of the countries in which it has operations. In particular, the Company make contributions to the Central Provident Fund scheme in Singapore, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

b) Employee leave entitlement

Employee entitlements to annual leave are recognised as a liability when they are accrued to the employees. The undiscounted liability for leave expected to be settled wholly before twelve months after the end of the reporting period is recognised for services rendered by employees up to the end of the reporting period. The liability for leave expected to be settled beyond twelve months from the end of the reporting period is determined using the projected unit credit method. The net total of service costs, net interest on the liability and remeasurement of the liability are recognised in profit or loss.

2.17 Taxes**a) Current income tax**

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the end of the reporting period date, in the countries where the Company operates and generates taxable income.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

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2. Summary of significant accounting policies (continued)**2.17 Taxes (continued)****b) Deferred tax**

Deferred tax is provided using the liability method on temporary differences at the end of the reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Deferred tax liabilities are recognised for all temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

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2. Summary of significant accounting policies (continued)**2.17 Taxes (continued)****b) Deferred tax**

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity and deferred tax arising from a business combination is adjusted against goodwill on acquisition.

2.18 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

2.19 Contingencies

A contingent liability is:

- a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- b) a present obligation that arises from past events but is not recognised because:
 - (i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - (ii) The amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company.

Contingent liabilities and assets are not recognised on the balance sheet of the Company, except for contingent liabilities assumed in a business combination that are present obligations and which the fair values can be reliably determined.

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3. Significant accounting judgements and estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgments made in applying accounting policies

In the process of applying the Company's accounting policies, management has made the following judgements which have the most significant effect on the amounts recognised in the financial statements.

Income taxes

The Company has exposure to income taxes. Significant judgement is involved in determining the provision for income taxes. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

a) Impairment of non-financial assets

The Company assesses at each balance sheet date whether there are any indicators of impairment for all non financial assets.

Determining whether the carrying values of goodwill, plant and equipment and investment in subsidiary company are impaired requires an estimation of the value-in-use of the asset or the cash generating units ("CGU"). This requires the Company to estimate the future cash flows expected from the asset or the CGU and an appropriate discount rate in order to calculate the present value of the future cash flows.

The carrying amounts of goodwill, plant and equipment and right of use asset at the balance sheet date are disclosed in Notes 9, 10 and 11 respectively.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***3. Significant accounting judgements and estimates (continued)***b) Impairment of loans and receivables*

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At every reporting date, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade receivables is disclosed in Note 12.

The carrying amount of trade receivables as at 31 March 2020 is disclosed in Note 12.

4. Revenue

	2020 S\$	2019 S\$
Income from consultancy services	<u>4,654,943</u>	<u>4,410,922</u>

5. Cost of services

	2020 S\$	2019 S\$
Consultancy charges	551,364	733,037
Consultants' salaries and CPF	3,217,238	3,011,999
Project supplies	-	94,110
Reversal of prior year over accrual of project supplies	(34,499)	-
	<u>3,734,103</u>	<u>3,839,146</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***6. Profit / (loss) before income tax**

The following items have been included in arriving at profit / (loss) before income tax:

	2020 S\$	2019 S\$
Telephone expense	21,821	16,977
Depreciation of plant and equipment (Note 10)	3,291	4,098
Amortisation of right of use assets (Note 11)	23,274	-
Director's remuneration and CPF (Note 20(b))	205,432	199,721
Employee benefits (Note 7)	711,845	434,071
Loss on foreign exchange	8,233	13,023
Impairment of investment in subsidiary (Note 18)	-	51,742
Impairment of amount due from related parties (Note 15)	-	9,832
Impairment loss on trade receivables (Note 12)	-	18,662
Interest expense on lease liability (Note 17)	1,302	-
Office rental	12,203	38,184

7. Employee benefits

	2020 S\$	2019 S\$
Employees' salaries and bonuses	474,995	230,280
Employer's CPF on employees' salaries and bonuses	31,418	26,534
Director's remuneration	196,072	190,361
Employer's CPF on director's remuneration	9,360	9,360
	711,845	456,535

8. Income tax

(a) Income tax expense

	2020 S\$	2019 S\$
Income tax expense comprise:		
- Current income tax	9,244	867
- (Overprovision) / Under provision in prior year	(5,244)	414
	4,000	1,281

A reconciliation between tax expense/ (income) and the product of accounting profit/ (loss) multiplied by the applicable corporate tax rate for the financial years ended 31 march 2020 and 2019 were as follows :

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***8. Income tax (continued)**

	2020 S\$	2019 S\$
Profit / (Loss) before income tax	193,091	(160,416)
Tax calculated at a tax rate of 17%	32,825	(27,271)
Effects of:		
- Expenses not deductible for tax purposes	184	17,364
- Tax effect on partial exemption and rebate	(10,094)	-
- Income not subject to tax	(2,163)	(1,378)
- (Overprovision) / Under provision in prior year	(5,244)	414
- Deferred tax assets not recognised	-	11,455
- Deferred tax expense relating to the origination and reversal of temporary differences	(19)	697
- Utilisation of deferred tax assets previously not recognised	(11,489)	-
Tax charge	4,000	1,281

(b) Provision for taxation

	2020 S\$	2019 S\$
Balance at beginning of the year	867	34,932
Charge of the year	9,244	867
(Overprovision) / under provision in prior year	(867)	414
Income tax refund	-	298
Income tax paid	-	(35,644)
Balance at the end of the year	9,244	867

At the statement of financial position date, the Company had unutilised tax losses amounting to approximately S\$Nil (2019: S\$67,587) available to offset against future taxable income subject to the approval of the Singapore tax authorities.

Deferred tax asset amounting to S\$Nil (2019: S\$11,489) in relation to unutilised tax losses have not been recognised as management is not certain of its realisation in future years.

9. Goodwill

	2020 S\$	2019 S\$
At 1 April	534,583	534,583
Additions	-	-
At 31 March	534,583	534,583

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9. Goodwill (continued)

Goodwill acquired through a business combination is allocated, at acquisition, to the cash generating units (“CGU”) that are expected to benefit from the business combination.

Goodwill is not amortised but is reviewed for impairment annually.

The carrying amount of a CGU is established by allocating assets and liabilities to the identified CGU as below:

	2020 S\$	2019 S\$
Goodwill	534,583	534,583
Net assets and liabilities attributable to the CGU	659,706	1,170,494
Carrying amount of CGU	<u>1,194,289</u>	<u>1,705,077</u>

The recoverable amount of the CGU have been determined based on value in use calculations using cash flow projections from financial budgets approved by management covering a five-year period. As the recoverable amount is more than its carrying value, no impairment of the goodwill is recognised.

Key assumptions used in the value in use calculations

Budgeted gross margins – Gross margins are based on average values achieved in the five years preceding the start of the budget period, consistent over the budgeted period.

Growth rates – The forecasted 3.00% per annum terminal growth rates is between the Singapore’s 20 years historical inflation rate of 1.57% and GDP growth rate of 5.28%.

Discount rates – Discount rates of 11.34% represent the current market assessment of the risks specific to each CGU, regarding the time value of money and individual risks of the underlying assets which have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Company and its operating segments and derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity.

The cost of equity is derived from the Modified Capital Assets Pricing Model (“CAPM”) to estimate the cost of equity.

Sensitivity to changes in assumptions

With regards to the assessment of value in use, Management believes that no reasonably possible changes in any of the above key assumptions would cause the carrying value of the unit to materially below its recoverable amount.

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	Computer and software S\$	Furniture and fittings S\$	Office equipment S\$	Office renovation S\$	Total S\$
2020					
Cost					
At 01.04.2019	172,114	6,744	21,510	26,415	226,783
Additions	-	-	-	-	-
At 31.03.2020	172,114	6,744	21,510	26,415	226,783
Accumulated Depreciation					
At 01.04.2019	169,699	6,488	16,705	26,415	219,307
Depreciation charge	1,046	93	2,152	-	3,291
At 31.03.2020	170,745	6,581	18,857	26,415	222,598
Net Carrying Value					
At 31.03.2020	1,369	163	2,653	-	4,185
2019					
Cost					
At 01.04.2018	169,187	6,744	21,510	26,415	223,856
Additions	2,927	-	-	-	2,927
At 31.03.2019	172,114	6,744	21,510	26,415	226,783
Accumulated Depreciation					
At 01.04.2018	167,954	6,395	14,445	26,415	215,209
Depreciation charge	1,745	93	2,260	-	4,098
At 31.03.2019	169,699	6,488	16,705	26,415	219,307
Net Carrying Value					
At 31.03.2019	2,415	256	4,805	-	7,476

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	Right-of-use asset SGD	Total SGD
<u>Costs</u>		
As at 1 April 2019	-	-
Additions	34,911	34,911
As at 31 March 2020	34,911	34,911
<u>Accumulated amortisation</u>		
As at 1 April 2019	-	-
Charge for the year	23,274	23,274
As at 31 March 2020	23,274	23,274
<u>Net book value</u>		
As at 31 March 2020	11,637	11,637

12. Trade and other receivables

	2020 S\$	2019 S\$
Trade receivables - third parties	1,094,339	1,063,290
Less: Allowance for doubtful debts	(5,093)	(23,755)
	1,089,246	1,039,535
Other receivables	109,783	99,875
Deposits	11,169	11,169
	1,210,198	1,150,579

Trade receivables are non-interest bearing and are generally on 30 to 90 days' terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.

The carrying amounts of the trade and other receivables approximate their fair values as the trade receivables are subject to normal trade credit terms and due to short term nature of the other receivable balances. The trade and other receivables are denominated in Singapore Dollars.

Receivables that are past due but not impaired:

The Company has trade receivables amounting to \$188,135 (2019: \$388,346) that are past due at the statement of financial position date but not impaired. These receivables are unsecured and the analysis of their aging at the statement of financial position date is as follows:-

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***12. Trade and other receivables (continued)**

	2020 S\$	2019 S\$
Trade receivables not past due:-		
Less than 30 days	906,204	651,189
Trade receivables past due:-		
1 – 30 days	169,157	273,138
31 – 60 days	18,978	8,988
61 – 90 days	-	29,798
More than 90 days	-	76,422
	<u>188,135</u>	<u>388,346</u>
Total	<u>1,094,339</u>	<u>1,039,535</u>

Receivables that are impaired:

The Company's trade receivables that are impaired at the statement of financial position date and the movement of the allowance accounts used to record the impairment are as follows:

	2020 S\$	2019 S\$
At 1 April	23,755	5,093
Allowance during the year	-	18,662
Allowance written back during the year	(18,662)	-
At 31 March	<u>5,093</u>	<u>23,755</u>

Trade receivables that are individually determined to be impaired at the statement of financial position date relate to receivables that are in significant financial difficulties and have defaulted on payments. These receivables are not secured by any collateral or credit enhancements.

13. Cash and cash equivalents

	2020 S\$	2019 S\$
Cash at banks	712,764	311,147
Cash on hand	1,926	2,238
	<u>714,690</u>	<u>313,385</u>

The carrying amounts of the cash and cash equivalents approximate their fair values. Cash and cash equivalents is denominated in Singapore Dollar.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***14. Other payables and accruals**

	2020 S\$	2019 S\$
Other payables – third parties	95,100	33,102
GST payables	80,831	75,332
Accrued expenses	325,976	399,003
	501,907	507,437

The carrying amounts of the other payables approximate their fair values due to short term nature of the other payables balances. The other payables and accruals are denominated in Singapore Dollars.

15. Amount due from / (to) related parties

	2020 S\$	2019 S\$
Amount due from related parties		
Trade	-	548,162
Non-trade	227,160	120,000
	227,160	668,162

Amount due from related parties that are non-trade related, unsecured, non-interest bearing and repayable upon demand.

	2020 S\$	2019 S\$
Amount due from related parties		
Singapore dollar	74,562	570,132
US dollar	157,864	96,520
Euro dollar	-	11,342
	232,426	677,994
Less: Bad debt written off	(5,266)	-
Less: Allowance for doubtful debts	-	(9,832)
	227,160	668,162

The Company's amount due from related parties that are impaired at the statement of financial position date and the movement of the allowance accounts used to record the impairment are as follows:

	2020 S\$	2019 S\$
At 1 April	9,832	-
Allowance during the year	-	9,832
Allowance written back during the year	9,832	-
At 31 March	-	9,832

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***15. Amount due from / (to) related parties (continued)**

	2020	2019
	S\$	S\$
Amount due to related parties		
Trade	81,088	244,631
Non-trade	54,270	-
	<u>135,358</u>	<u>244,631</u>

Amount due to related parties that are unsecured, non-interest bearing and repayable upon demand.

	2020	2019
	S\$	S\$
Amount due to related parties		
Singapore dollar	68,500	236,878
US dollar	53,440	7,753
Malaysia ringgit	13,418	-
	<u>135,358</u>	<u>244,631</u>

The carrying amounts of amount due from / (to) related parties approximate their fair values and are denominated in the currencies stated above.

16. Gross amount due to customers for contract work-in-progress

	2020	2019
	S\$	S\$
Aggregate costs incurred	33,220	67,020
Attributable profit recognised	16,298	68,361
	<u>49,518</u>	<u>135,381</u>
Progressive billings	(67,940)	(162,750)
	<u>18,422</u>	<u>27,369</u>

The carrying amounts of the gross amount due to customers for contract work-in-progress approximate their fair values and are denominated in Singapore Dollars.

17. Lease liability

The Company has lease contracts for its premises. The Company's obligations under the lease for the premises is secured by the lessor's title to the leased assets. The Company is restricted from assigning and subleasing the leased assets. The lease contracts include extension options.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***17. Lease liability (continued)**

	2020 S\$	2019 S\$
Lease liability– Current	<u>12,098</u>	-

(a) Amount recognised in Profit and Loss

	2020 S\$	2019 S\$
Interest expense on lease liability (Note 6)	1,302	-
Amortisation of right-of-use assets (Note 11)	23,274	-
Office rental (Note 6)	12,203	38,184
Total amount recognised in Profit and Loss	<u>36,779</u>	38,184

(b) Reconciliation of opening lease commitment to closing operating lease commitment

	2020 S\$
Operating lease commitments as at 31 March 2019	36,852
Weighted average incremental borrowing rate as at 1 April 2019	5.25%
Discounted operating lease commitments as at 1 April 2019	<u>35,364</u>

(c) Reconciliation of opening lease liability to closing lease liability

	2020 S\$
Lease liability as at 1 April 2019	35,364
Repayment of lease liability	<u>(24,568)</u>
	10,796
Adoption of FRS116	1,302
Lease liability as at 31 March 2020	<u>12,098</u>

Lease liabilities were recognised based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

The carrying amounts of finance leases approximate their fair values and are all denominated in Singapore dollars.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***18. Investment in subsidiary**

	2020	2019
	S\$	S\$
Shares, at cost	288,900	288,900
Impairment of investment in subsidiary	-	(288,900)
Investment in subsidiary written off	(288,900)	-
	<u>-</u>	<u>-</u>
Impairment loss of investment in subsidiary (Note 6)	-	51,742

<u>Name of subsidiary</u>	<u>Principal activities</u>	<u>Proportion of ownership</u>	
<u>Held by the Company</u>		<u>2020</u>	<u>2019</u>
Mindteck Solutions Philippines, Inc. ¹ (Incorporated in Philippines)	Hardware and software development and IT consultancy	100%	100%

¹ Unaudited.**19. Share capital**

	2020	2019
	S\$	S\$
Issued and fully paid: 1,310,500 (2019: 1,310,500) ordinary shares	<u>1,310,500</u>	<u>1,310,500</u>

The holder of ordinary shares is entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

20. Significant transactions with related parties**(a) Related parties transactions**

During the financial year, the company had related party transactions on terms agreed among the parties as follows:-

In addition to the related party information disclosed elsewhere in the financial statements, the following are significant transactions between the Company and its related parties took place at terms agreed between the parties during the financial year :-

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***20. Significant transactions with related parties (continued)**

(a) Related parties transactions (continued)

	2020 S\$	2019 S\$
Fees paid or payable to the Company	491,503	350,836
Fees paid or payable to related parties	(529,517)	(538,435)
Interest paid or payable to the Company	-	10,386
Loan to related parties	(210,000)	(230,000)

(b) Compensation of key management personnel

	2020 S\$	2019 S\$
Director's remuneration	196,072	190,361
Director's CPF	9,360	9,360
	205,432	199,721

21. Operating lease commitments

The future minimum lease payable under non-cancellable operating leases contracted for at the statement of financial position date but not recognised as liabilities, are as follows:-

	2020 S\$	2019 S\$
Within one year	-	36,771
Within two to five years	-	18,385
	-	55,156

The lease commitments relating to office rental is S\$36,852.

22. Subsequent event

On March 11, 2020 the World Health Organization declared the novel strain of coronavirus (COVID-19) a global pandemic and recommended containment and mitigation measures worldwide. As a response, Prime Minister of Singapore announced that the Circuit Breaker started from 7 April 2020 until 4 May 2020 which eventually was extended up to 01 Jun 2020. Therefore, as of the date of this report, the Company has temporarily ceased its activities.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***22. Subsequent event (continued)**

Director is actively monitoring the situation but as the full impact of the COVID-19 outbreak continues to evolve, the director cannot reasonably estimate the length or severity of this pandemic, or the extent to which the disruption may materially impact on the financial position, results of operations, and cash flows in the subsequent year. The outbreak may have a continued material adverse impact on economic and market conditions, triggering a period of global economic slowdown. Developments such as implementation of social distancing will impact the Company's ability to sell its placement services and to deploy its workforce effectively. As such, its financial condition and liquidity may be negatively impacted.

23. Capital management

Capital includes debt and equity items as disclosed in the table below.

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and net current asset position in order to support its business and maximise shareholder value. The capital structure of the Company comprises issued share capital and retained earnings. No changes were made in the objectives, policies or processes during the years ended 31 March 2020 and 31 March 2019.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company is not subject to any externally imposed capital requirements. No changes were made to the objectives, policies or processes during the financial years ended 31 March 2020 and 31 March 2019.

	2020 S\$	2019 S\$
Other payables and accruals (Note 14)	501,907	507,437
Amount due to related parties (Note 15)	135,358	244,631
Gross amount due to customers for contract work-in-progress (Note 16)	18,422	27,369
Lease liability (Note 17)	12,098	-
Less: Cash and cash equivalents (Note 13)	(714,690)	(313,385)
Net debt	(46,905)	466,052
Equity attributable to owners of the company	2,089,405	1,900,767
Capital and net debts	2,042,500	2,366,819
Gearing ratio	NA	20%

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

24. Financial risk management objectives and policies

The Company is exposed to financial risks arising from its operations and the use of financial instruments. The key financial risks include credit risk, liquidity risk and foreign currency risk. The board of directors reviews and agrees policies and procedures for the management of these risks.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

a. Credit risk

Credit risk is the risk of loss that may arise on outstanding financial instruments should a counterparty default on its obligations. The Company's exposure to credit risk arises primarily from trade and other receivables and amount due from related parties. For other financial assets (including investment securities, cash and short-term deposits and derivatives), the Company minimise credit risk by dealing exclusively with high credit rating counterparties.

The Company's objective is to seek continual revenue growth while minimising losses incurred due to increased credit risk exposure. The Company trades only with recognized and creditworthy third parties. It is the Company's policy that all customers who wish to trade on credit terms are subject to credit verification procedures. In addition, receivable balances are monitored on an ongoing basis with the result that the Company's exposure to bad debts is not significant.

b. Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities.

The table below summarises the maturity profile of the Company's financial assets used for managing liquidity risk and financial liabilities at the end of the reporting period based on contractual undiscounted repayment obligations.

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***24. Financial risk management objectives and policies (continued)****b. Liquidity risk (continued)**

	One year or less S\$	One to five years S\$	More than five years S\$	Total S\$
2020				
Financial assets:				
Trade and other receivables	1,210,198	-	-	1,210,198
Amount due from related parties	227,160	-	-	227,160
Cash and cash equivalents	714,690	-	-	714,690
	<u>2,152,048</u>	-	-	<u>2,152,048</u>
Financial liabilities:				
Other payables	175,931	-	-	175,931
Lease liability	12,098	-	-	12,098
Gross amount due to customers for contract work-in-progress	18,422	-	-	18,422
Amount due to related parties	135,358	-	-	135,358
	<u>341,809</u>	-	-	<u>341,809</u>
Total net undiscounted financial assets	<u>1,810,239</u>	-	-	<u>1,810,239</u>
	One year or less S\$	One to five years S\$	More than five years S\$	Total S\$
2019				
Financial assets:				
Trade and other receivables	1,150,579	-	-	1,150,579
Amount due from related parties	668,162	-	-	668,162
Cash and cash equivalents	313,385	-	-	313,385
	<u>2,132,126</u>	-	-	<u>2,132,126</u>
Financial liabilities:				
Other payables	108,434	-	-	108,434
Gross amount due to customers for contract work-in-progress	27,369	-	-	27,369
Amount due to related parties	244,631	-	-	244,631
	<u>380,434</u>	-	-	<u>380,434</u>
Total net undiscounted financial assets	<u>1,751,692</u>	-	-	<u>1,751,692</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020***24. Financial risk management objectives and policies (continued)****c. Foreign exchange risk**

The Company has various currency exposures arising from sales or purchases that are denominated in a currency other than the functional currency of the Company. The currency giving rise to this risk is primarily the United States Dollars and Euro Dollars. The Company monitors its net exposure to these foreign currencies to ensure that it remains insignificant.

The Company's currency exposure is as follows:

	<u>United States Dollar</u>	<u>Malaysia Ringgit</u>	<u>Singapore Dollar</u>	<u>Total</u>
2020				
Trade and other receivables	-	-	1,210,198	1,210,198
Cash and cash equivalents	-	-	714,690	714,690
Amount due from related parties	157,864	-	69,296	227,160
Other payables and accruals	-	-	(501,907)	(501,907)
Gross amount due to customers	-	-	(18,422)	(18,422)
for contract work-in-progress				
Amount due to related parties	(53,440)	(13,418)	(68,500)	(135,358)
	<u>104,424</u>	<u>(13,418)</u>	<u>1,405,355</u>	<u>1,496,361</u>
	<u>United States Dollar</u>	<u>Euro Dollar</u>	<u>Singapore Dollar</u>	<u>Total</u>
2019				
Trade and other receivables	-	-	1,150,579	1,150,579
Cash and cash equivalents	-	-	313,385	313,385
Amount due from related parties	86,688	11,342	570,132	668,162
Other payables and accruals	-	-	(507,437)	(507,437)
Gross amount due to customers for	-	-	(27,369)	(27,369)
contract work-in-progress				
Amount due to related parties	(7,753)	-	(236,878)	(244,631)
	<u>78,935</u>	<u>11,342</u>	<u>1,262,412</u>	<u>1,352,689</u>

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NOTES TO THE FINANCIAL STATEMENTS*For the financial year ended 31 March 2020*

24. Financial risk management objectives and policies (continued)

c. Foreign exchange risk (continued)

Sensitivity analysis for foreign currency risk

The following table demonstrates the sensitivity to a reasonably possible change in the US dollar and Euro dollar (against SGD), with all other variables held constant, of the Company's profit after tax.

	2020	2019
	S\$	S\$
US dollar		
- Strengthened 3% (2019: 3%)	2,600	1,965
- Weakened 3% (2019: 3%)	(2,600)	(1,965)
Malaysia ringgit		
- Strengthened 3%	334	-
- Weakened 3%	(334)	-
Euro dollar		
- Strengthened 3% (2019: 3%)	-	282
- Weakened 3% (2019: 3%)	-	(282)

25. Authorisation of financial statements

The financial statements for the year ended 31 March 2020 were authorised for issue in accordance with a resolution of the directors of **Mindteck Singapore Pte Ltd** on the date of Director's Statement.